Joint Products

NRV Method

split the joint cost by value!

Cost Accounting

In simple words *One process gives many products. Share the joint cost in the ratio of what each product can earn after further costs.*

1 Joint products

Two or more main products of equal importance, produced together from the same raw material and process, and separated at the split-off point.

Same input, same process

2 Net Realisable Value (NRV)

Final sales value less further processing cost after split-off, less selling and distribution cost, if any.

Value after all later costs

1. Joint cost is common up to the split-off point; it cannot be traced to one product.
2. NRV method apportions joint cost in the ratio of NRV of each product.
3. It is used when products need further processing after split-off.
4. Only the further cost after split-off is deducted; joint cost is never deducted from sales value.



Swipe for the formula →

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THE NRV FORMULA

Joint Products: NRV Method

sales less later costs, then share

NRV of a product

$$\text{NRV} = S - (F + SD)$$

S = final sales value of the product, F = further processing cost after split-off, SD = selling and distribution cost, if any.

Joint cost share of a product

$$\text{SHARE OF JOINT COST} = \frac{\text{NRV of the product} \times \text{Total joint cost}}{\text{Total NRV of all joint products}}$$

Numerator uses the NRV of that one product; denominator is the sum of NRV of all joint products.

VALUE DECIDES THE SHARE! Higher NRV means a bigger share of joint cost, because that product can bear more of it.

Swipe for a memory trick ⟶

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STUDY TRICK

Joint Products: NRV Method

remember the order of working

SELL, SUBTRACT, SPLIT

Sell value first, Subtract later costs to get NRV, then Split the joint cost in the NRV ratio.

HOW TO ATTEMPT IT

1 Write final sales value of each → 2 Deduct further and selling cost →

3 Get NRV; total the NRVs → 4 Find NRV ratio →

5 Split joint cost in that ratio

EXAM TIP

Check whether the question gives sales value at split-off or after further processing. Use the NRV method only for the second case.

DOUBT BUSTER

Why not split joint cost by units produced? Units ignore value. A low-value product would carry too much cost. NRV matches cost to ability to bear it.

Swipe for common mistakes →

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COMMON MISTAKES

Joint Products: NRV Method

avoid these slips

✗ Deducting the joint cost from sales value to get NRV

✓ Deduct only further processing and selling costs after split-off. Then apportion the joint cost on NRV.

✗ Ignoring further processing cost of a product

✓ Deduct each product's own further processing cost before finding the NRV ratio.

✗ Adding further cost to the share of joint cost, then dividing again

✓ Joint cost share comes from the NRV ratio. Add the product's further cost afterwards only for its total cost.

TOMORROW'S CMA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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